



Weekly Market Note
September 11th, 2026

Economic Data & Markets Summary

Index	Asset Class	MTD	YTD
MSCI World	Equity	2.60%	13.13%
MSCI Asia Pacific	Equity	3.08%	19.22%
MSCI Europe	Equity	1.44%	11.53%
MSCI China	Equity	-0.34%	-7.56%
Bloomberg Barclays Global Aggregate Index	Fixed Income	0.45%	-0.27%
Bloomberg Commodities Index	Commodities	7.06%	27.53%
HFRX Global	Hedge Fund	0.76%	4.37%
HFRX Macro/CTA	Hedge Fund	1.58%	5.68%
HFRX Equity Hedge	Hedge Fund	1.38%	7.76%

*Index data as of August 31, 2026

Global Markets & Economic Data:

Macro developments continue to dominate price action as higher bond yields and energy prices take a toll on sentiment.

USA: Aug. PPI figures were in line with expectations but registered their largest increase in three months. CPI figures were at the high end of consensus, driven by a rise in fuel costs.

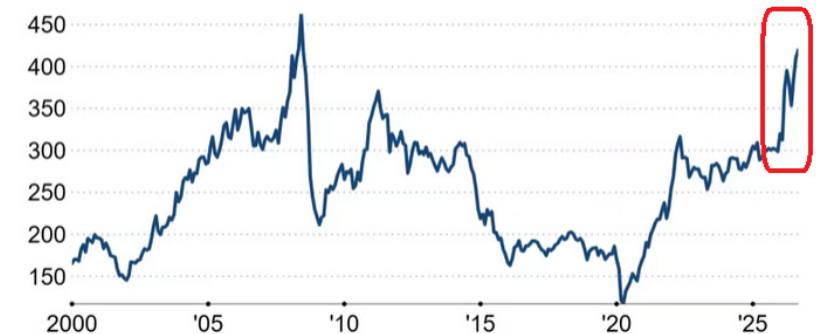
Switzerland/Europe/UK: The Swiss Unemployment Rate held steady at 3% in Aug. The ECB raised interest rates by 25bps, its second hike YTD with ECB President Lagarde saying growth risks are tilted to the downside while inflation risks are tilted to the upside. The UK's Lloyds House Price Index fell 0.4% y/y in Aug., its first annual decline since Nov. 2023.

China/Japan: Japan's GDP grew 1.4% y/y in Q2, the third consecutive quarter for growth. China's exports jumped 25% y/y in Aug. as the global AI infrastructure buildout continued to boost trade across Asia.

Commodity price breakout!

A global commodity price index nears 2008 record

(FTSE/CoreCommodity CRB Index, monthly)



Source: LSEG

- With inflationary pressures causing global bond yields to rise, there is no relief in sight from the commodity markets.
- Ags, energies and metals are all ripping higher in tandem. Oil prices might be taking the spotlight, but structural supply strains combined with geopolitics are pushing up refined products, European gas and grains.
- The price movements are finally coinciding with fundamentals, which is spurring a PNL burst from commodity specialists.
- While the rally is a welcome development for commodity traders, they observe generalist investors "basket flows" into major commodities. So they are therefore bracing for the inevitable sharp trend reversal when some of these tourist inflows reverse.

Market Spotlight: August market recap

Commodities & Growth both Up!?

Exhibit 1: Asset class and style returns

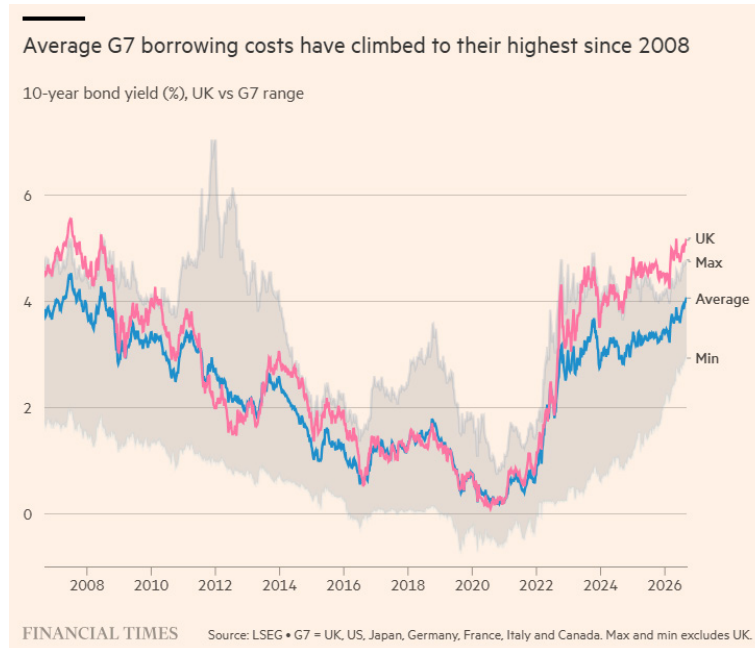
2017	2018	2019	2020	2021	2022	2023	2024	2025	YTD	Aug '26
MSCI EM 37.8%	Global Agg -1.2%	Growth 34.1%	Growth 34.2%	Global REITs 32.6%	Cmdty 16.1%	Growth 37.3%	Growth 26.2%	MSCI EM 34.4%	Cmdty 32.1%	Cmdty 7.4%
Growth 28.5%	Global REITs -4.9%	DM Equities 28.4%	MSCI EM 18.7%	Cmdty 27.1%	Value -5.8%	DM Equities 24.4%	DM Equities 19.2%	Value 21.6%	MSCI EM 24.4%	MSCI EM 3.4%
Small cap 23.2%	Growth -6.4%	Small cap 26.8%	DM Equities 16.5%	Value 22.8%	Global Agg -16.2%	Small cap 16.3%	Value 12.3%	DM Equities 21.6%	Value 17.9%	Small cap 2.9%
DM Equities 23.1%	DM Equities -8.2%	Global REITs 24.4%	Small cap 16.5%	DM Equities 22.3%	DM Equities -17.7%	Value 12.4%	Small cap 8.6%	Growth 21.3%	Small cap 17.5%	Growth 2.6%
Value 18.0%	Value -10.1%	Value 22.7%	Global Agg 9.2%	Growth 21.4%	Small cap -18.4%	Global REITs 10.9%	MSCI EM 8.1%	Small cap 20.4%	DM Equities 13.4%	DM Equities 2.6%
Global REITs 8.0%	Cmdty -11.2%	MSCI EM 18.9%	Value -0.4%	Small cap 16.2%	MSCI EM -19.7%	MSCI EM 10.3%	Cmdty 5.4%	Cmdty 15.8%	Global REITs 11.8%	Value 2.6%
Global Agg 7.4%	Small cap -13.5%	Cmdty 7.7%	Cmdty -3.1%	MSCI EM -2.2%	Global REITs -23.7%	Global Agg 5.7%	Global REITs 2.8%	Global REITs 8.4%	Growth 9.0%	Global Agg 0.5%
Cmdty 1.7%	MSCI EM -14.2%	Global Agg 6.8%	Global REITs -10.4%	Global Agg -4.7%	Growth -29.1%	Cmdty -7.9%	Global Agg -1.7%	Global Agg 8.2%	Global Agg -0.3%	Global REITs -3.0%

- August saw a broad risk rebound following July's sell-off, driven by geopolitical, Treasury, and Fed catalysts.
- Growth stocks led equity gains in the U.S., Japan, Korea, and Taiwan, while energy topped U.S. sectors amid a rally across all major commodities sub sectors (energy, metals, and agriculture).
- Credit markets also strengthened, with corporate bonds outpacing government bonds and high-yield spreads hitting 12-month lows.
- A weaker U.S. dollar buoyed emerging-market assets, and Fed liquidity plus favorable U.S. legislation helped Bitcoin surge 25%.

Source: Bloomberg, FTSE, LSEG Datastream, MSCI, J.P. Morgan Asset Management. DM Equities: MSCI World; REITs: FTSE NAREIT Global Real Estate Investment Trusts; Cmdty: Bloomberg Commodity Index; Global Agg: Bloomberg Global Aggregate; Growth: MSCI World Growth; Value: MSCI World Value; Small cap: MSCI World Small Cap. All indices are total return in US dollars. Past performance is not a reliable indicator of current and future results. Data as of 31 August 2026.

Market Spotlight: Global bond yields

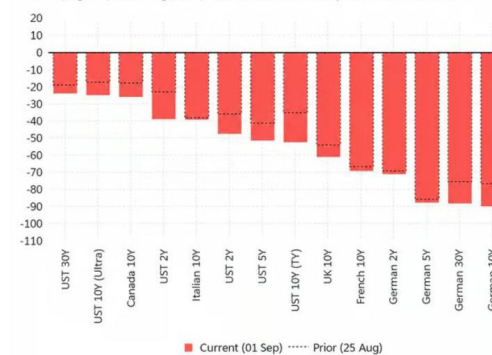
- Global bond yields face sustained upward pressure from persistent government spending and hawkish central banks combating sticky inflation. Trump's proposal to distribute \$5,000 to every U.S. adult should Republicans win the midterms represents the latest bearish catalyst for the asset class.
- Quantitative trend-following strategies are currently positioned net short global bonds, a positioning that has generated meaningful profits for CTAs in September.
- This contrasts sharply with the discretionary macro community, where views on global rate trajectories remain divided. This fragmentation marks a notable shift from 2022, when macro managers held a more unified bearish consensus that drove substantial first-half 2022 returns.
- The current divergence of macro opinion reflects genuine uncertainty about the path forward. Managers are grappling with competing dynamics: deflationary pressures from artificial intelligence, potential yield curve control measures by governments, and subdued economic activity outside the AI sector. Taken together, these cross-currents have widened the perceived range of plausible outcomes for rates, making consensus increasingly elusive.



CTAS SHORT ACROSS G10 FI, ESPECIALLY GERMAN BONDS

Vanda CTA Fixed Income Portfolio - Snapshot of latest exposures

Positive (negative) = CTA long (short) futures; bars show CTA exposure in \$DV01mn terms

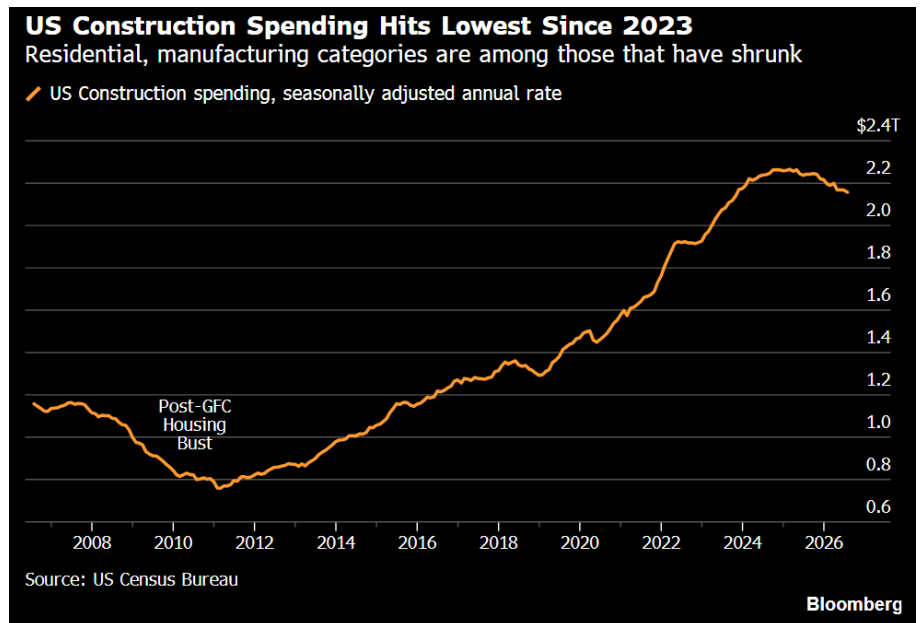
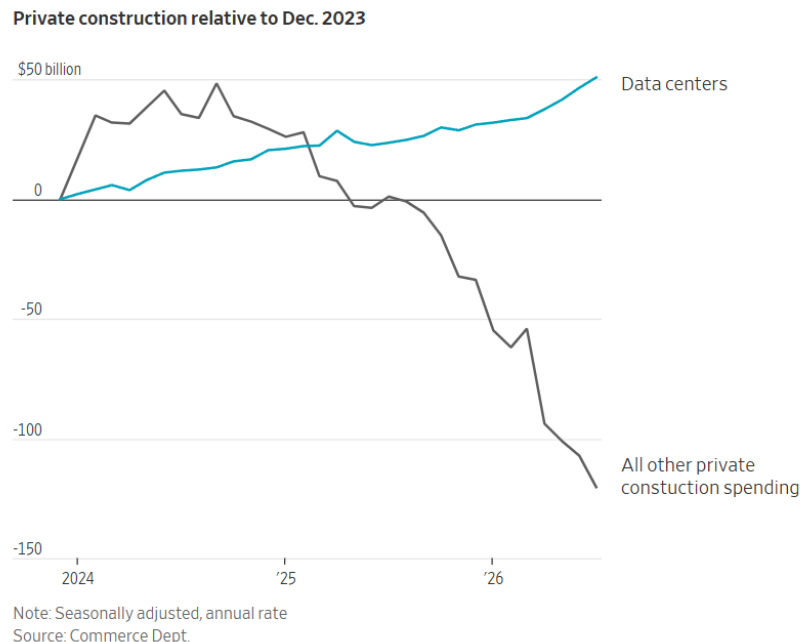


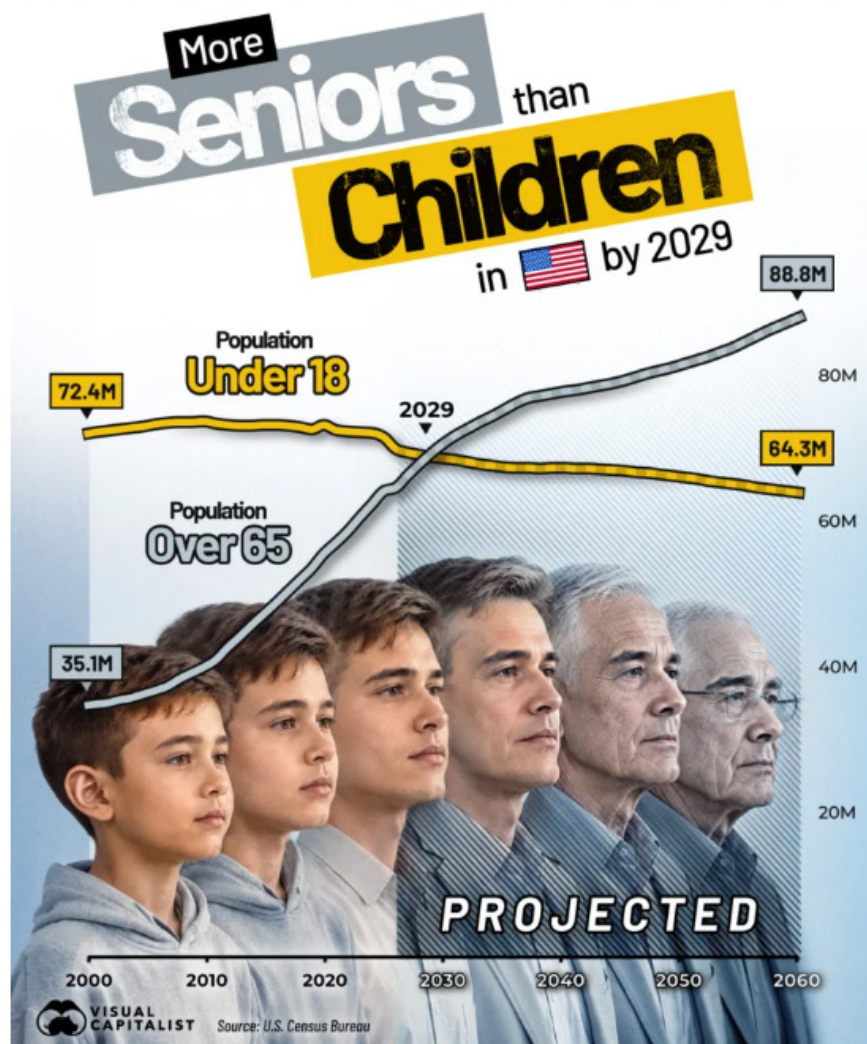
*Latest data as of 01 Sep | Source: VandaKasset - Created By: Vandalabs

Richard Iley - Vanda

Market Spotlight: The AI Capex construction uplift

- Pre-AI, the world was seeking the next capex spending cycle to lift us out of the doldrums of plateauing old economy industrial cycles.
- Massive ESG outlays were originally projected to create a global infrastructure buildout, however as soon as AI showed up on the scene, ESG was pushed to the side to make way for buildings to house ever expanding compute power. The matrix has unfolded in real-time in the recent years since.
- Since the end of 2023, spending on data centers has risen by \$51B, while private construction in nearly all other areas, housing, retail, and offices has fallen by \$120B.
- The multi-trillion dollar question now is whether the heavily debt funded AI buildout will yield economic gains, or will the present data center construction boom rival the dotcom telecom buildout where capacity proved to move far ahead of demand leading to cratering prices and a debt bomb that arrive in the early aughts.
- If the telecom overcapacity builds rings true, look out below, because the rest of construction ex-data centers is experiencing a major contraction.





The Great Age Reversal: America's Demographic Turning Point

For generations, America has been a young nation. In 2000, children under 18 outnumbered seniors by more than two to one—72.4 million kids versus 35.1 million people age 65 and older. That era is ending fast.

Within years, seniors will outnumber children for the first time in American history. Census projections place this historic crossover in 2029, accelerating from earlier estimates of around 2034. Two forces drive this shift: the baby boom generation retiring and declining birth rates. Even accounting for immigration, demographers project the crossover will occur between 2028 and 2030.

The implications are staggering. A youth-oriented nation must reimagine itself around aging populations. Healthcare, social security, housing, and workforce dynamics will face profound pressures. Schools may shrink while senior centers expand. What was once unimaginable—more grandparents than grandchildren—is now inevitable. America's demographic destiny has been rewritten.



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